THE SCOPE AND LIMITS OF THE CORPORATE ENTITY THEORY.

The acts of a group of persons recognized by the law as a corporation are, in legal contemplation, the acts of the group itself conceived of as if it were a separate individual or legal "person", and not the acts of the human beings composing the group. And the rights and liabilities arising out of such acts are, in legal contemplation, the rights and liabilities of the group as such, and not the rights and liabilities of the members of the group as joint parties in interest. Of course, the group, which is recognized and treated by the law as something distinct from its members, is not a "person", that is, a human being, or, as he has been defined under a broader generalization, "a biped without feathers". The "personality" of the group exists only as a legal conception. But this conception is, as I pointed out in a previous article in this Review,[1] not a fiction in the sense of a supposition contrary to and having no relation to fact. It is not a fiction in the sense of an "act of feigning, inventing or imaging, a *false* deduction or conclusion"—which is one of the definitions of the term in the Century Dictionary. On the contrary, it is a conception founded in the normal mode of thought not only of trained lawyers but of mankind in general. Such a conception is to be sharply distinguished, therefore, from certain legal fictions or presumptions which have no relation to fact and are often in truth false deductions or conclusions—such as the fiction of a lease in the old suit of ejectment, the fiction by which the English Court of Exchequer usurped jurisdiction by permitting an allegation that the plaintiff was the King's debtor and then allowing no one to deny it, the fiction that all of the stockholders of a corporation are residents of the state where it was incorporated, the fiction of a lost grant and the like. Such fictions or presumptions are obviously purely arbitrary and are often in truth contrary to fact, and were invented by the courts for the purpose of being able to administer justice without expressly disregarding a rule which literally applied would produce results opposed to justice.[2] The legal conception of a corporation, on the other hand, is of a very different nature, and on account of those fictions of the law, which are indeed contrary to

[1] 14 Columbia Law Rev. 469. The term "person" was not used in the Roman Law, and is unnecessary. It is a mere relic of mediæval scholasticism—a vestige of the "Realists". Corporation is the proper term—not "person", as *universitas* was the proper term in the Roman Law.

[2] Thayer's Cases on Evidence, p. 40.